

11-5 Local Firms versus Multinational Enterprises

While managers, students, and journalists are often fascinated by MNE rivalries, such as those featuring Coca-Cola versus PepsiCo, Mary Kay versus Avon, and Apple versus Samsung (see the [Opening Case](#)), much less is known about how local firms cope with MNE attacks. Given the broad choices of competing and/or cooperating, local firms can adopt one of four strategic postures, depending on

Learning Objective 11-5

Discuss how local firms fight multinational enterprises (MNEs).

- (1) the industry conditions, and
- (2) the nature of competitive assets.

Shown in [Figure 11.4](#), four strategic actions emerge.

Figure 11.4

How Local Firms in Emerging Economies Respond to Multinationals

Source: Adapted from N. Dawar & T. Frost, 1999, Competing with giants: Survival strategies for local companies in emerging markets, *Harvard Business Review*, March–April: 122.

Cell 3 shows how in some industries, the pressures to globalize are relatively low, and local firms' strengths lie in a deep understanding of local markets. In this case, local assets where MNEs are weak are leveraged in a

[**defender strategy** \(Strategy that centers on local assets in areas in which MNEs are weak.\)](#)

. For example, facing an onslaught from MNE cosmetics firms, a number of Israeli firms turned to focus on products suited to the Middle Eastern climate and managed to defend their turf. Ahava has been particularly successful, partly because of its highly unique components that are extracted from the Dead Sea that MNEs cannot find elsewhere. In other words, while local firms such as Ahava cede some markets (such as mainstream cosmetics) to MNEs, they build strongholds in narrower, but deeper, product markets (such as the “Dead Sea mud” product that has become popular around the world).

Cell 4 shows industries where pressures for globalization are relatively low, and local firms may possess some skills that are transferable overseas, thus leading to an **extender strategy (Strategy that centers on leveraging homegrown competencies abroad.)**. This strategy centers on leveraging home-grown competencies abroad (see the **Closing Case**). For example, Asian Paints controls 40% of the house paint market in India. Asian Paints developed strong capabilities tailored to this environment, characterized by thousands of small retailers serving numerous poor consumers who only want small quantities of paint in a single-use sachet (or pouch) that can be diluted to save money. Such capabilities are a winning formula not only in India, but also in much of the developing world. In contrast, MNEs, whose business model typically centers on affluent customers in developed economies who buy paint by the bucket, have had a hard time coming up with profitable low-end products.

Cell 1 depicts local firms that compete in industries with high pressures for globalization. Thus, a

dodger strategy (Strategy that centers on cooperating through joint ventures with MNEs and sell-offs to MNEs.)

is necessary. This is largely centered on cooperating through joint ventures (JVs) with MNEs and sell-offs to MNEs. In the Chinese automobile industry, *all* major domestic automakers have entered JVs with MNEs. In the Czech Republic, the government sold Skoda to Volkswagen. In essence, to the extent that local firms are unable to successfully compete head-on against MNEs, cooperation becomes necessary. In other words, if you can't beat them, join them!

Finally, in Cell 2, some local firms, through a **contender strategy (Strategy that centers on a firm engaging in rapid learning and then expand overseas.)**

, engage in rapid learning and then expand overseas (see the **Closing Case**). A number of Chinese smartphone makers, such as Lenovo, Huawei, TCL, Xiaomi, and ZTE, rapidly caught up with global heavyweights. Following their success at home, these smartphone makers have now entered foreign markets. Worldwide, Lenovo and Huawei are now the third- and fourth-largest smartphone makers. Xiaomi has dethroned *both* Samsung and Apple to grab the highest market share in *both* China and India, thus enabling it to become the world's fifth-largest smartphone maker.

Particularly in emerging economies, how domestic firms respond is crucial for managers. For example, in China, despite initial dominance, MNEs do not always stay on top. In numerous industries (such as sportswear, smartphones, personal computers, and home

appliances), many MNEs have found themselves losing market share to domestic firms. While weak domestic players are washed out, some of the stronger domestic firms not only succeed in the competitive domestic environment, but also now challenge MNEs overseas. In the process, they become a new breed of MNEs themselves. The upshot is that when facing the onslaught of MNEs, local firms are not necessarily “sitting ducks” guaranteed to lose (see the [Closing Case](#)).

Chapter 11: Managing Global Competitive Dynamics: 11-5 Local Firms versus Multinational Enterprises

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